

Coca-Cola

2Q24 Preview: Resilient Momentum Should Stand Out vs. Peers

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 2Q24 earnings results on Tuesday, July 23, before the market open. We adjusted a few of our underlying estimates but net-net both our 2Q24 and 2024 EPS estimates of \$0.82 and \$2.82 remain unchanged versus the current Bloomberg consensus of \$0.80 and \$2.82. We slightly tweaked our 2Q24 OSG segment assumptions but overall unchanged at +10.7% (vs. consensus +9.6%) with our price/mix moving up +40 bps and our unit case volume -30 bps lower. For 2024 our OSG estimate moved +20 bps higher to +9.6% (or +9.4% on concentrate shipment basis) vs. consensus +8.9%. Net-net, we expect a beat vs. consensus in 2Q24 and a small guidance raise to the top-line and EPS (perhaps 1 point to OSG/EPS).

- Continue to See Upside in Shares Even After Outperformance vs. Peers.** Through the first half of the year, KO has been a solid performer among large cap Beverages and HPC with shares +6.4% YTD vs. multinational (MNC) peers +1.1% and staples XLP +7.3%. That said, KO has underperformed SPX (+17.1% YTD) and relative valuation on NTM P/E remains near the 2009 lows as tech outperforms and relative to MNC peers the company's relative valuation is only slightly higher than its longer-term historical average (7.3% premium vs. 5-year average 5.3%). While the relative valuation vs. PEP is high — now 13% premium vs. 5-year average ~1% — we believe a wider spread will remain until there is better visibility on stabilization/inflection in U.S. snacking trends. As such, we believe the outperformance is justified as fundamentals are materially better vs. average CPG, and expectations heading into the year have largely played out, when we pegged KO as a top pick within Beverages — namely that KO has a solid path to generating +LSD% volume growth (better than peers and scarce within CPG) given continued momentum in developing and emerging markets and demonstrated ability to continue to drive transactions/volumes growth despite more pressured affordability in certain developed markets by leveraging technology and marketing to drive incidence and penetration. We continue to see upside to estimates for this year despite some strengthening in the USD as North America performance looks to be more resilient vs. peers and International picture appears to be improving (e.g., Europe, China, India improving, LatAm still solid). We remain Overweight and are establishing a December 2025 target price of \$72 based on 22.4x P/E (KO's 2-year average) off our 2026 EPS of \$3.22, representing 15% upside from current levels plus a 3% dividend yield.
- Peer PepsiCo (PEP, N-rated) Reports Tomorrow July 11th, BMO, and Will Set the Tone for the Beverages Category, Snacks and Overall Consumption.** We believe KO will continue to show relative better performance. See our PEP preview from last week here ([link](#)), and our cautious view on salty snacks ([link](#)).

Overweight

KO, KO US

Price (09 Jul 24):\$62.69

▲ Price Target (Dec-25):\$72.00

Prior (Dec-24):\$68.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur
Revenue - 24E (\$ mn)	46,201	46,089
Revenue - 25E (\$ mn)	48,311	47,922
Adj. EPS - 25E (\$)	3.01	2.98

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2023A	2024E	2025E
Q1	0.68	0.72A	0.76
Q2	0.78	0.82	0.84
Q3	0.74	0.75	0.80
Q4	0.49	0.53	0.58
FY	2.69	2.82	2.98

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	83	84	80	80	89
Growth	59	20	51	64	83
Momentum	47	55	64	72	65
Quality	26	9	18	47	27
Low Vol	1	1	1	15	2
ESGQ	33	44	16	15	23

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 13 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	6.4%	-1.9%	5.0%	4.9%
Rel	-10.5%	-6.2%	-2.1%	-21.6%

Company Data

Shares O/S (mn)	4,321
52-week range (\$)	64.36-51.55
Market cap (\$ mn)	270,883.50
Exchange rate	1.00
Free float(%)	89.7%
3M - Avg daily vol (mn)	11.90
3M - Avg daily val (\$ mn)	738.5
Volatility (90 Day)	11
Index	S&P 500
BBG BUY HOLD SELL	23 7 0

Key Metrics (FYE Dec)

\$ in millions	FY23A	FY24E	FY25E	FY26E
Financial Estimates				
Revenue	45,784	46,089	47,922	50,294
Adj. EBITDA	14,464	15,000	16,010	17,142
Adj. EBIT	13,336	13,881	14,747	15,734
Adj. net income	11,677	12,173	12,869	13,872
Adj. EPS	2.69	2.82	2.98	3.22
BBG EPS	2.68	2.82	3.01	3.24
Cashflow from operations	11,599	11,373	10,027	14,940
FCFF	9,747	9,175	7,736	12,535
Margins and Growth				
Revenue Growth Y/Y (%)	6.4%	0.7%	4.0%	5.0%
Total Organic Sales Growth (%)	-	-	-	-
Gross margin	59.7%	61.2%	61.6%	61.8%
EBITDA margin	31.6%	32.5%	33.4%	34.1%
EBITDA Growth Y/Y (%)	6.3%	3.7%	6.7%	7.1%
EBIT margin	29.1%	30.1%	30.8%	31.3%
Net margin	25.5%	26.4%	26.9%	27.6%
Adj. EPS growth	8.4%	4.6%	5.8%	8.0%
Ratios				
Net debt/EBITDA	2.1	2.2	2.1	1.8
ROIC	-	-	-	-
ROE	46.7%	46.8%	49.6%	49.9%
Valuation				
FCFF yield	3.6%	3.4%	2.9%	4.6%
Dividend yield	2.9%	3.0%	3.2%	3.4%
EV/Revenue	5.8	5.8	5.6	5.3
EV/EBITDA	18.3	17.8	16.8	15.5
Adj. P/E	23.3	22.3	21.0	19.5

Summary Investment Thesis and Valuation

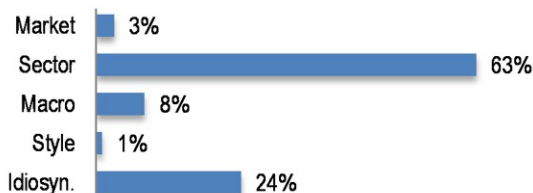
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$72, based on 22.4x P/E (two-year average multiple) on our 2026 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our \$72 price target implies ~15% upside in the next approximately 18 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.09	0.20
Sect: Cons Staples	0.81	0.84
Ind: Food Bev & Tobacco	0.88	0.83
Macro:		
Economic Surprise	-0.23	-0.24
Crude Oil	-0.48	-0.20
US 10yr yield	-0.13	-0.18
Quant Styles:		
Growth	-0.23	-0.37
DivYld	0.40	0.37
Value	0.32	0.29

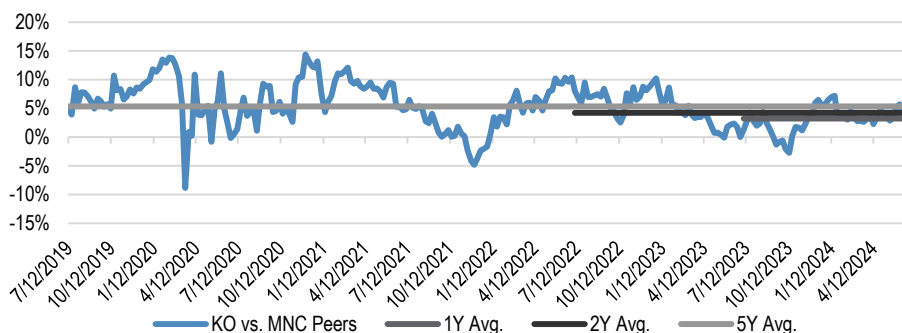
Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- 2Q24 Expectations.** We are forecasting 2Q24 EPS of \$0.82 (unchanged), which is \$0.02 ahead of the current Bloomberg consensus. Our OSG estimate of +10.7% (unchanged) on both unit case/concentrate shipments basis compares to Consensus Metrix +9.6% with JPMe modeling for unit cases/concentrate shipments +2.1% (vs. CM +1.9%/+1.7%) and price/mix +8.6% (vs. CM +7.8%). We are -18 bps behind the Street on margins (EBIT margins JPMe 32.6% vs. consensus 32.8%) with our gross margins slightly ahead (JPMe 61.0% vs. consensus 60.5%) and our operating expenses heavier (JPMe 28.4% vs. consensus 27.75%). We elaborate further inside.

Figure 1: KO at 7.3% Premium to Multinational Peers, Only ~200 Bps Above 5-Year Average

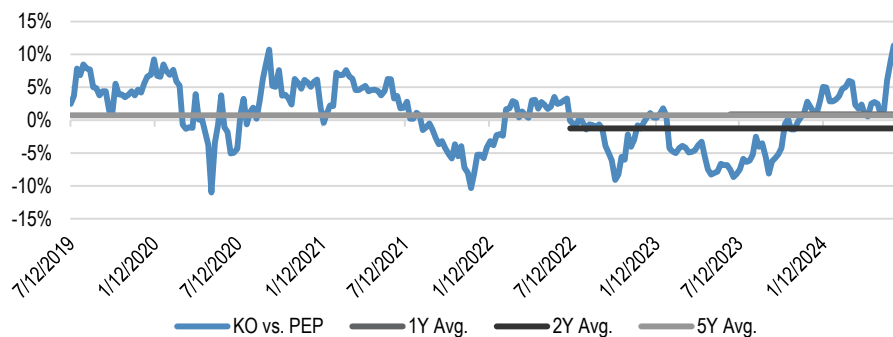
KO NTM P/E Relative Premium/Discount vs. Large Cap Multinational Peers (PEP, CL, PG, KVUE, KMB, HSY, MDLZ, K, ULVR, NESN)



Source: Bloomberg Finance L.P.

Figure 2: KO Now at +13% Premium to PEP on NTM P/E, Largest Since Early 2019

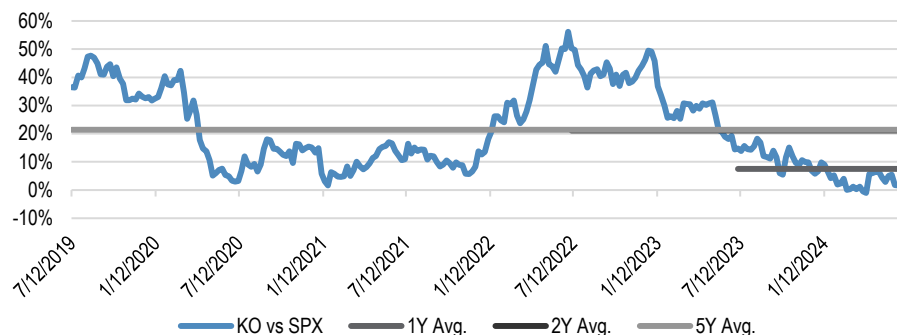
KO NTM P/E Relative Premium/Discount vs. PEP



Source: Bloomberg Finance L.P.

Figure 3: Despite Outperformance vs. Peers, KO Shares at Just 1.5% Premium to SPX - Still Near Lowest Relative Valuation Since 2009

KO NTM P/E Relative Premium/Discount vs. SPX



Source: Bloomberg Finance L.P.

2Q24 Earnings Outlook

Date: Tuesday, July 23

Estimated Release Time: 6:55 AM ET

Conference Call Details:

Time: 8:30 AM ET

Dial-in: +1-888-415-4465 Pin: COKE IR

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 2Q24 earnings results on Tuesday, July 23, before the market open. We adjusted a few of our underlying estimates but our 2Q24 and 2024 EPS estimates of \$0.82 and \$2.82 remain unchanged versus the current Bloomberg consensus of \$0.80 and \$2.82.

We Are Ahead of Consensus for 2Q24 on Top-Line and EPS

On the top-line, our +0.1% estimate (including +10.7% organic on concentrate shipment basis, -5.9% FX, and -5.5% M&A) is 178 bps ahead of consensus of -1.7% (including +9.6% organic, -6.0% FX, and -5.2% M&A). As we detail later, we are modeling ahead of consensus on both volumes and price/mix. We are slightly (-18 bps) below the Street on margins (EBIT margins JPMe 32.6% vs. consensus 32.8%) as we are ahead on gross margin (JPMe 61.0% vs. consensus 60.5%) but higher on SG&A (JPMe 28.4% vs. consensus 27.7%).

Our gross margin forecast of 61.0% embeds +160 bps expansion YOY, which is an acceleration sequentially from +135 bps YOY in 1Q24 but a moderation on an absolute basis from 62.3% in 1Q24. The most meaningful driver of gross margins will be benefit of refranchising the Philippines bottler, which closed on February 23, flow through of pricing actions, and some mix benefits (although likely more moderate than 1Q24 given ongoing away-from-home underperformance vs. at-home in U.S.). On the other hand we expect ongoing headwinds from FX and inflation in certain commodities. We note that we are building in roughly ~+140 bps of structural gross margin expansion from bottler refranchising - in 1Q24 bottler refranchising was about a +110 bps tailwind, but 40 bps of that was due to easy comparisons in year-ago period (sugar inflation in Philippines),

and the transaction closed mid-quarter (i.e., doubling the 1Q24 underlying tailwind of 70 bps). Our SG&A forecast of 28.4% of sales is 61 bps unfavorable YOY, which reflects ongoing reinvestment behind advertising and impact from refranchising (i.e., reduced people costs but little impact to advertising).

All in, our 2Q24 EPS estimate of \$0.82 is \$0.02 ahead of the current Bloomberg consensus estimate.

Table 1: JPMe 2Q24E and 2024E vs. Bloomberg Consensus

\$ m, except per share values

	2Q24E		Y/Y	JPMe	2024E		Y/Y	JPMe
Income Statement	JPMe	Consensus	%	vs. cons	JPMe	Consensus	%	vs. cons
Net Sales	11,979.5	11,766.7	2.5%	1.8%	46,089.2	45,765.5	0.7%	0.7%
Gross Profit	7,306.7	7,118.9	4.7%	2.6%	28,215.9	27,770.5	3.3%	1.6%
Operating Income	3,902.3	3,853.9	4.4%	1.3%	13,881.0	13,710.0	4.1%	1.2%
Interest, Net	133.3				742.2			
Net Income	3,546.4	3,472.1	6.1%	2.1%	12,172.6	12,188.0	4.2%	-0.1%
Shares Outstanding	4,322.0		-0.5%		4,322.0		-0.4%	
EPS	\$0.82	\$0.80	6.7%	2.1%	\$2.82	\$2.82	4.6%	0.0%
	2Q24E		bps	JPMe	2024E		Y/Y	JPMe
Growth/Margins	JPMe	Consensus	bps	vs. cons	JPMe	Consensus	bps	vs. cons
Sales Growth	0.1%	-1.7%	(187)	178	0.7%	0.0%	(569)	71
Gross Margin	61.0%	60.5%	135	49	61.2%	60.7%	155	54
SG&A Margin	28.4%	27.7%	74	67	31.1%	30.7%	56	38
Operating Profit Margin	32.6%	32.8%	61	(18)	30.1%	30.0%	99	16
Tax Rate	19.0%				19.0%			

Source: Bloomberg Finance L.P., and J.P. Morgan estimates.

Organic Revenue Growth

- **Organic Sales:** Overall comparisons get easier sequentially in 2Q from an organic growth perspective both YOY and on a 4Y CAGR basis (lapping +11% YOY OSG and +6.9% 4Y CAGR vs. in 1Q24 lapped +12% YOY OSG and +8.8% 4Y CAGR). There are some puts and takes to OSG relative to 1Q24 — on the positive side, comparisons on unit case volume are much easier sequentially and we don't expect any meaningful difference between unit cases and concentrate shipments, the consumer environment in developing markets seems to remain solid and consumer sentiment is improving in Europe (although weather may be a headwind), price/mix should continue to be a solid contributor (helped by hyperinflation and regular pricing), and comparisons are easier in 2Q in China and 1Q24 headwinds in India should abate; on the unfavorable side, away-from-home in the U.S. seems to be under more pressure incrementally vs. 1Q24 (headwind to price/mix) and there is likely to be ongoing headwind from the conflicts in the Middle East.
- **Price/Mix:** For 2Q24, we are expecting price/mix to decelerate sequentially to +8.6% from +13% in 1Q24. At a high level, we expect strong +DD% price/mix to continue in EMEA and Latin America regions driven by hyperinflation and for moderation in other regions. In North America, where management noted that of the 7% price/mix in 1Q24 about 2 points was mix and timing, we are modeling for +4.5% price/mix as we expect mix to be less of a contributor given away-from-home underperformance and some higher promotions. Our +8.6% price/mix estimate is above the current CM consensus of +7.8%.

- **Volumes:** For 2Q24, we are expecting unit case volume to accelerate sequentially to +2.1% from +1% in 1Q24. As we noted before, comparisons get easier (lapping flat unit case volume from 2Q23 vs. lapped +3% unit case volumes from 1Q23) and some headwinds should abate with respect to China and India.
- All in, we are forecasting 2Q24 OSG of +10.7% (unit case volume +2.1%, price/mix +8.6%) versus the apples-to-apples CM forecast of +9.7% (unit case volume +1.9%, price/mix +7.8%). We are not modeling for any delta between unit case volume and concentrate shipments, however CM consensus has a slight -20 bps headwind between unit case volume and concentrate shipments, resulting in CM OSG +9.6% (rounding).
- On a regional basis, our OSG forecasts are as follows: +19% in EMEA (unit case volume +1%, price/mix +18%), +22.5% in Latin America (unit case volume +2.5%, price/mix +20%), +4.25% in North America (unit case volume -0.25%, price/mix +4.5%), +9% in Asia Pacific (unit case volume +5%, price/mix +4%), +5% in Global Ventures (unit case volume +3%, price/mix +2%), and +8% in BIG (unit case volume +4%, price/mix +4%).
- The regional breakdown of our organic revenue growth estimates vs. consensus (measured by Consensus Metrix) is below.

Table 2: 2Q24E JPM Organic Revenue Estimates vs. Consensus

Revenue Build	2Q24E		JPMe
	JPMe	Consensus	vs. cons (bps)
Organic Revenue	10.7%	9.6%	111
EMEA	19.0%	20.9%	(190)
Latin America	22.5%	19.5%	300
North America	4.3%	4.4%	(15)
Asia-Pacific	9.0%	5.9%	310
Global Ventures	5.0%	2.5%	250
BIG	8.0%	6.1%	190
Unit Case Volume	2.1%	1.9%	24
EMEA	1.0%	2.3%	(130)
Latin America	2.5%	2.7%	(20)
North America	-0.3%	0.5%	(75)
Asia-Pacific	5.0%	2.3%	270
Global Ventures	3.0%	2.6%	40
BIG	4.0%	2.6%	140
Concentrate Sales	2.1%	1.7%	44
EMEA	1.0%	3.0%	(200)
Latin America	2.5%	2.3%	20
North America	-0.3%	0.2%	(45)
Asia-Pacific	5.0%	1.7%	330
Global Ventures	3.0%	2.2%	80
BIG	4.0%	1.9%	210
Price/Mix	8.6%	7.8%	77
EMEA	18.0%	17.7%	30
Latin America	20.0%	17.1%	290
North America	4.5%	4.2%	30
Asia-Pacific	4.0%	4.8%	(80)
Global Ventures	2.0%	0.6%	140
BIG	4.0%	3.7%	30
FX	-5.9%	-5.9%	4
M&A/Other	-5.5%	-5.2%	(35)

Source: Consensus Metrix and J.P. Morgan estimates.

- The Bar into the Print** - Through the first half of the year, KO has been a solid performer among large cap Beverages and HPC with shares +6.4% YTD vs. multinational (MNC) peers +1.1% and staples XLP +7.3%. That said, KO has underperformed SPX (+17.1% YTD) and relative valuation on NTM P/E remains near the 2009 lows as tech outperforms and relative to MNC peers company's relative valuation is only slightly longer-term historical average (7.3% premium vs. 5-year average 5.3%). While the relative valuation vs. PEP is high — now 13% premium vs. 5-year average ~1% — we believe a wider spread will remain until there is better visibility on stabilization/inflection in U.S. snacking trends. As such, we believe the outperformance is justified as fundamentals have largely played out as we expected heading into the year when we pegged KO as a top pick within Beverages — namely that KO has a solid path to generating +LSD% volume growth (better than peers) given continued momentum in developing and emerging markets and demonstrated ability to continue to drive transactions/volumes growth despite more pressured affordability in certain developed markets by leveraging technology

and marketing to drive incidence and penetration. We continue to see upside to estimates for this year despite some strengthening in the USD as North America performance looks to be more resilient vs. peers and International picture appears to be improving (e.g., Europe, China, India improving, LatAm still solid). Other areas of focus for investors is generally on cash flow and timing of expected payments (e.g., escrow to appeal IRS tax case near-term, fairlife contingent performance payment in 2025), although we think these are mostly well understood (management has been talking to them for a number of quarters and already built into outlook).

US Tracked Channel Trends ~+5% in 2Q24; Improved Sequentially YOY as Unit Decline and Price/Mix Both Improved

Within the tracked channels during L13W 6/29/24, KO's overall dollar takeaway trends accelerated sequentially driven by an improvement in both unit decline and price/mix per unit. Trends on a 2Y CAGR basis decelerated only slightly sequentially but remained at the high-end of +MSD% range. All-in, dollar sales growth of +4.6% L13W 6/29/24 compares to +3.8% L13W 3/30/24 (+80 bps acceleration) with unit sales decline improving to -0.9% L13W 6/29/24 from -1.3% L13W 3/30/24 while price/mix per unit grew +5.5% L13W 6/29/24 from +5.2% L13W 3/30/24. Promotional levels were largely flat YOY in L13W 6/29/24 based on promotional intensity (breadth times depth), compared to a 46 bps increase in promotional intensity YOY in L13W 3/30/24. Within that, % of sales on promo increased about 130 bps YOY in L13W 6/29/24 (vs. a 250 bps increase YOY L13W 3/30/24) while average promotional discount narrowed by 50 bps in L13W 6/29/24 (vs. 30 bps expansion YOY in L13W 3/30/24).

2-Year CAGR Largely Flat Sequentially at High-End of +MSD% in the U.S. NIQ

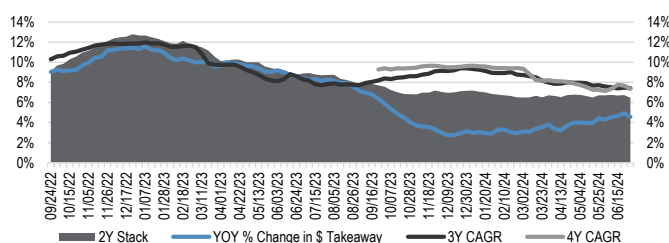
On a 2Y CAGR basis, KO's dollar takeaway L13W 6/29/24 decelerated a slight -20 bps to +6.5% from +6.7% L13W 3/30/24 as unit sales CAGR of -2.9% L13W 6/29/24 improved 10 bps sequentially from -3.0% L13W 3/30/24 while price/mix per unit CAGR of +9.6% L13W 6/29/24 moderated from +10.0% L13W 3/30/24. 3Y and 4Y CAGR trends are a bit less relevant now, in our view, but we note that on 3Y CAGR KO dollar sales of +7.1% L13W 6/29/24 decelerated -50 bps from +7.6% L13W 3/30/24 and on 4Y CAGR KO dollar sales +6.8% accelerated +70 bps from +6.0% L13W 3/30/24.

CSD Trends Largely Flat Sequentially at ~+4% As Pricing Improves but Volumes Moderate; KO Still Performing Better Than the Category

In CSDs, tracked channel trends for KO were largely flat sequentially in L13W 6/29/24 at +4.3% (vs. category ex-KO +3.9%) from +4.0% L13W 3/30/24 (vs. category ex-KO +3.2%). Within KO's +4.3% dollar sales growth L13W 6/29/24, volume sales decelerated to -0.8% from +1.5% L13W 3/30/24 while price/mix accelerated to +5.1% from +2.4% L13W 3/30/24. KO's outperformance vs. the category of roughly +50 bps L13W 6/29/24 was a bit narrower vs. +80 bps outperformance in L13W 3/30/24 and the company's value share in CSDs in L13W 6/29/24 was up roughly +11 bps YOY vs. +20 bps YOY in L13W 3/30/24.

Figure 4: KO Trends +4.6% in 2Q, Improved Sequentially

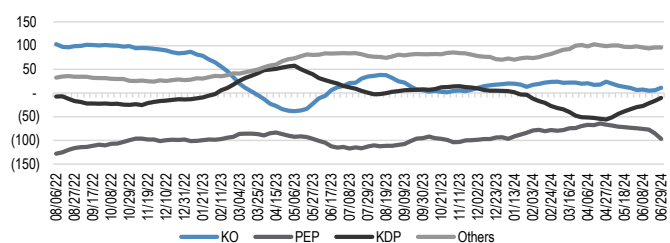
YOY % Change in \$ Takeaway (13-Weeks) vs. 2-Year Stack (left-axis); 3Y & 4Y CAGR (right-axis)



Source: NielsenIQ.

Figure 5: KO CSD Market Share +11 Bps, More Moderate Sequentially

\$ Market Share YOY (13-Weeks)



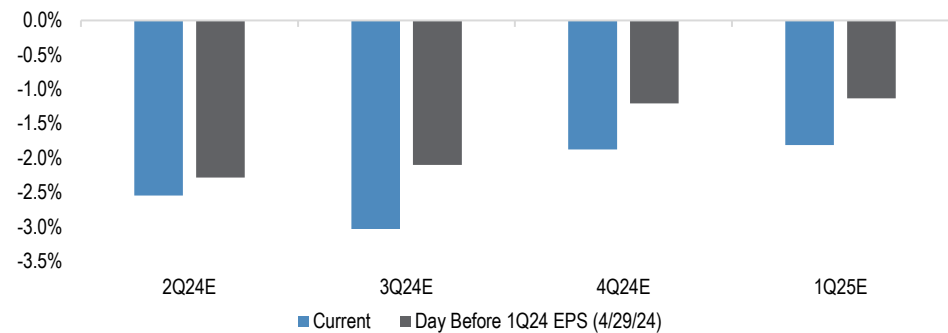
Source: NielsenIQ.

Updated FX Outlook

With the company’s 1Q24 earnings results on April 30th, management updated its currency outlook for 2024 to a -4% to -5% headwind to the top-line (had been -2% to -3% prior) and -7% to -8% to the bottom-line (from -4% to -5% previously), with the company citing that the “majority of currency headwinds are due to currency devaluation resulting from intense inflation.” Additionally, for 2Q24 the company expected currency to be a -6% headwind to revenues and -8% to -9% headwind to EPS.

Since the company reported results, the USD has been largely flat with the DXY U.S. Dollar Index lower by about 0.4% since April 29 (trading day prior to earnings. Our currency model suggests that FX has worsened by around 60 bps for the remaining quarters relative to when KO reported results, largely driven by depreciation in Latin America currencies (e.g., Mexican Peso), although given KO’s hedging the company may be covered for some of the incremental headwind for this year. We lowered our 2Q24 estimates FX impact to -5.9% (from -5.6% before), which compares to CM -6.0%, and for 2024 we now model for a -4.7% headwind (from -4.3% before) relative to CM -4.8%.

Figure 6: Currency Model Shows USD Has Strengthened Since KO’s 1Q24



Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Coca-Cola (Overweight; Price Target: \$72.00)

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

We are establishing a December 2025 target price of \$72 based on 22.4x P/E (KO's 2-year average) off our 2026 EPS of \$3.22, representing 15% upside from current levels plus a 3% dividend yield. We believe KO shares offer investors solid top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop. These benefits are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) the uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements—all of which could drive further negative earnings revisions.

Coca-Cola: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY22A	FY23A	FY24E	FY25E	FY26E		1Q24A	2Q24E	3Q24E	4Q24E	
Revenue	43,046	45,784	46,089	47,922	50,294	Revenue	11,231A	11,979	11,783	11,096	
COGS	(17,817)	(18,465)	(17,873)	(18,393)	(19,203)	COGS	(4,237)A	(4,673)	(4,456)	(4,507)	
Gross profit	25,229	27,319	28,216	29,529	31,092	Gross profit	6,994A	7,307	7,327	6,589	
SG&A	(12,884)	(13,983)	(14,335)	(14,782)	(15,357)	SG&A	(3,351)A	(3,404)	(3,695)	(3,885)	
Adj. EBITDA	13,605	14,464	15,000	16,010	17,142	Adj. EBITDA	3,905A	4,172	3,919	3,003	
D&A	(1,260)	(1,128)	(1,119)	(1,263)	(1,407)	D&A	(262)A	(270)	(287)	(300)	
Adj. EBIT	12,345	13,336	13,881	14,747	15,734	Adj. EBIT	3,643A	3,902	3,632	2,704	
Net Interest	(457)	(645)	(742)	(1,046)	(956)	Net Interest	(142)A	(133)	(221)	(245)	
Adj. PBT	13,377	14,403	15,000	15,835	17,049	Adj. PBT	3,861A	4,341	3,986	2,812	
Tax	(2,545)	(2,737)	(2,852)	(3,010)	(3,241)	Tax	(734)A	(825)	(758)	(535)	
Minority Interest	(29)	11	24	44	64	Minority Interest	(8)A	31	9	(8)	
Adj. Net Income	10,803	11,677	12,173	12,869	13,872	Adj. Net Income	3,119A	3,546	3,238	2,270	
Reported EPS	2.48	2.69	2.82	2.98	3.22	Reported EPS	0.72A	0.82	0.75	0.53	
Adj. EPS	2.48	2.69	2.82	2.98	3.22	Adj. EPS	0.72A	0.82	0.75	0.53	
DPS	1.75	1.83	1.90	1.99	2.11	DPS	0.02A	0.47	0.47	0.94	
Payout ratio	70.5%	68.1%	67.6%	66.9%	65.7%	Payout ratio	3.2%A	57.3%	62.7%	179.0%	
Shares outstanding	4,351	4,339	4,322	4,317	4,309	Shares outstanding	4,322A	4,322	4,322	4,322	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY22A	FY23A	FY24E	FY25E	FY26E		FY22A	FY23A	FY24E	FY25E	FY26E
Cash and cash equivalents	9,519	9,366	9,180	7,582	6,283	Gross margin	58.6%	59.7%	61.2%	61.6%	61.8%
Accounts receivable	3,487	3,410	3,456	3,754	4,075	EBITDA margin	31.6%	31.6%	32.5%	33.4%	34.1%
Inventories	4,233	4,424	4,220	4,453	4,705	EBIT margin	28.7%	29.1%	30.1%	30.8%	31.3%
Other current assets	5,352	9,532	9,364	9,539	9,730	Net profit margin	25.1%	25.5%	26.4%	26.9%	27.6%
Current assets	22,591	26,732	26,220	25,329	24,792	ROE	45.9%	46.7%	46.8%	49.6%	49.9%
PP&E	9,841	9,236	10,277	11,305	12,302	ROA	11.5%	12.3%	12.1%	12.5%	13.4%
LT investments	501	118	147	147	147	ROCE	15.7%	16.8%	16.4%	16.8%	18.0%
Other non current assets	59,830	61,617	66,477	66,477	66,477	SG&A/Sales	29.9%	30.5%	31.1%	30.8%	30.5%
Total assets	92,763	97,703	103,121	103,258	103,719	Net debt/equity	1.1	1.1	1.2	1.3	1.0
Short term borrowings	2,373	4,557	6,054	6,054	6,054	P/E (x)	25.2	23.3	22.3	21.0	19.5
Payables	15,749	15,485	19,415	20,249	21,150	P/BV (x)	11.3	10.5	10.4	10.5	9.1
Other short term liabilities	1,602	3,529	2,982	2,550	2,072	EV/EBITDA (x)	19.5	18.3	17.8	16.8	15.5
Current liabilities	19,724	23,571	28,451	28,853	29,276	Dividend Yield	2.8%	2.9%	3.0%	3.2%	3.4%
Long-term debt	36,377	35,547	39,104	39,104	35,104	Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Other long term liabilities	10,836	11,105	7,986	7,986	7,986	Interest cover (x)	29.8	22.4	20.2	15.3	17.9
Total liabilities	66,937	70,223	75,541	75,943	72,366	Operating leverage	98.0%	126.2%	613.2%	156.9%	135.2%
Shareholders' equity	24,105	25,941	26,063	25,798	29,835	Revenue y/y Growth	11.4%	6.4%	0.7%	4.0%	5.0%
Minority interests	1,721	1,539	1,517	1,517	1,517	EBITDA y/y Growth	8.3%	6.3%	3.7%	6.7%	7.1%
Total liabilities & equity	92,763	97,703	103,121	103,258	103,719	Tax rate	19.0%	19.0%	19.0%	19.0%	19.0%
BVPS	5.54	5.98	6.03	5.98	6.92	Adj. Net Income y/y Growth	7.1%	8.1%	4.2%	5.7%	7.8%
y/y Growth	4.5%	7.9%	0.9%	(0.9%)	15.9%	EPS y/y Growth	6.8%	8.4%	4.6%	5.8%	8.0%
Net debt/(cash)	28,587	29,701	32,610	34,208	31,507	DPS y/y Growth	4.8%	4.7%	3.8%	4.8%	6.0%
Cash flow from operating activities	11,018	11,599	11,373	10,027	14,940						
o/w Depreciation & amortization	1,260	1,128	1,119	1,263	1,407						
o/w Changes in working capital	(605)	(846)	(876)	127	139						
Cash flow from investing activities	(763)	(3,349)	(1,498)	(2,291)	(2,405)						
o/w Capital expenditure	(1,484)	(1,852)	(2,198)	(2,291)	(2,405)						
as % of sales	3.4%	4.0%	4.8%	4.8%	4.8%						
Cash flow from financing activities	(10,250)	(8,310)	(9,874)	(9,333)	(13,834)						
o/w Dividends paid	(7,616)	(7,952)	(8,224)	(8,607)	(9,108)						
o/w Net debt issued/(repaid)	(958)	1,857	4,919	0	(4,000)						
Net change in cash	(200)	(133)	(137)	(1,598)	(1,300)						
Adj. Free cash flow to firm	9,534	9,747	9,175	7,736	12,535						
y/y Growth	(15.3%)	2.2%	(5.9%)	(15.7%)	62.0%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Companies Discussed in This Report (all prices in this report as of market close on 09 July 2024, unless otherwise indicated)
PepsiCo(PEP/\$161.90/N)

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
21-Jul-21	N	55.83	59
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65
01-May-24	OW	61.77	68

PepsiCo (PEP, PEP US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 25, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
13-Jul-21	OW	149.51	171
04-Feb-22	OW	175.37	185
30-Mar-22	OW	168.19	180
22-Apr-22	OW	174.84	183
27-Apr-22	OW	173.30	186
06-Jul-22	OW	169.01	185
13-Jul-22	OW	169.50	188
30-Sep-22	OW	166.61	186
13-Oct-22	OW	169.39	188
17-Jan-23	OW	175.24	189
09-Feb-23	OW	171.16	190
17-Apr-23	OW	183.51	196
26-Apr-23	OW	189.71	201
13-Jul-23	OW	183.17	203
03-Oct-23	OW	169.17	188
10-Oct-23	OW	161.36	185
19-Dec-23	N	168.91	176
09-Feb-24	N	173.85	178
23-Apr-24	N	176.46	181
26-Jun-24	N	167.35	184

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